FY2026 Payroll Audit · Draft Findings for the CPA

Findings for the CPA from payroll audit procedures; not an audit report and no opinion.

Client	HANGS Construction Services LLC
Period	Fiscal year July 1, 2025 to June 30, 2026
Engagement	Payroll procedures within the FY2026 audit: analytics, a stratified sample traced to time records, rate approvals and personnel files, gross-to-net recomputed, rate changes and leavers, and the ties to the ledger and the Forms 941.
Prepared from	7 files: the trial balance and payroll expense ledger, the payroll register, the HR log, the sample support, the Form 941 summaries and the written answers
Prepared by	The F1 Finance Audit Machine, a demonstration. Fixed procedures on invented data; no AI model was used.
Status	Draft. Not reviewed, concluded or signed. Nothing was posted or sent to the client.

Materiality, Proposed

Contract revenue for the year, the benchmark	$70,300,400.00
Materiality: 0.5% of revenue, rounded down	$350,000.00
Performance materiality: 75%	$262,500.00
Clearly trivial: 5%	$17,500.00

What the Procedures Found

Procedure	What was found	Amount
Register	The register agrees to every paycheck, the employee master and the ledger with the accruals	$12,017,414.84
Analytics	Every month within a few percent of its expectation; wages for the year follow headcount from FY2025 (95.65 people per payday)	$50,581.50
Ghost tests	One shared deposit account, two married carpenters: cleared by inquiry and the personnel files (GHOST-01)	$12,017,414.84
Sample	Eight paychecks traced to timesheets, rate approvals and personnel files; gross to net recomputed	$35,828.19
Withholdings	L&I employee share taken on time and a half for overtime; estimated over-deduction for the year (WH-01)	$2,514.64
Rate changes	The Payroll and HR Manager's own raise, entered by her, with no signed approval: paid to June 30 (RATE-01)	$4,999.93
Leavers	Six leavers each paid one final check and nothing after; nobody paid who should have left	$12,017,414.84
Accrual	June 30 wages cut off correctly; the employer taxes on them were never accrued (ACC-01)	$22,864.35
Forms 941	All four quarters agree to the register and were filed on time; line 2 for the year	$11,369,726.27

Signature: none. This memo is not an audit report and gives no opinion. The CPA reviews the workpapers, decides every open item and concludes. No adjustment has been posted.

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Draft Payroll Findings

Against Materiality

Known misstatements in expense (ACC-01, FY2026)	**$2,892.10**
Liabilities understated (ACC-01 and WH-01)	$25,378.99
Unapproved raise paid (RATE-01), a control matter	$4,999.93
Performance materiality	$262,500.00
Materiality	$350,000.00

What was done

The machine tied the trial balance’s payroll accounts to the ledger, agreed the register to its 2,493 paychecks and the employee master, set an expectation for every month and for the year, and ran five ghost-employee tests on the whole master file. It drew a stratified sample with the plan’s seed, traced each paycheck to its timesheet, rate approval and personnel file and recomputed gross to net. It found every rate change in the paychecks, tested every leaver, recomputed the June 30 accrual from the July 10 payroll and agreed each quarter to its Form 941.

What the records support

Pay is recorded completely and in the right year: the register, the ledger and the Forms 941 agree, the accrued wages follow the next payroll, nobody was paid after leaving and the one shared deposit account belongs to a married couple who both work. Gross pay and every withholding except L&I recompute.

What the CPA decides before concluding

1. Whether the client records the employer taxes on the accrued wages; passed otherwise (ACC-01). 2. The President and CEO’s confirmation of the Payroll and HR Manager’s raise, and how the CPA weighs that she can change her own pay (RATE-01). 3. The L&I setup and the refunds (WH-01). 4. The clearance of the shared account (GHOST-01). 5. The representation letter (REP-01).

What the machine does not do

It does not give an opinion, write the audit report, sign anything or post an adjustment. Concluding is the CPA’s job; the machine stops here.

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PAYROLL FINDINGS · FOLLOW THE EVIDENCE

Materiality · Contract Revenue, the Benchmark

$70,300,400.00

Workbook: Planning!B16

Draft figure · the CPA reviews and concludes

Planning!B16 = $70,300,400.00

=-('E01 Income Accounts'!D8+'E01 Income Accounts'!D9)

E01 Income Accounts!D8 = ($69,612,400.00)

E01 Income Accounts!D9 = ($688,000.00)

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/FY2026 trial balance.xlsx · Income Accounts!D8, Income Accounts!D9

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Original documents are attached to this PDF. The workbook is attached too.

PAYROLL FINDINGS · FOLLOW THE EVIDENCE

Materiality · Materiality, Proposed (MAT-01)

$350,000.00

Workbook: Planning!B17

Draft figure · the CPA reviews and concludes

Planning!B17 = $350,000.00

=ROUNDDOWN(B16*B22/10000,0)*10000

Planning!B16 = $70,300,400.00

=-('E01 Income Accounts'!D8+'E01 Income Accounts'!D9)

E01 Income Accounts!D8 = ($69,612,400.00)

E01 Income Accounts!D9 = ($688,000.00)

Planning!B22 = 0.500%

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/FY2026 trial balance.xlsx · Income Accounts!D8, Income Accounts!D9

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Original documents are attached to this PDF. The workbook is attached too.

PAYROLL FINDINGS · FOLLOW THE EVIDENCE

Materiality · Performance Materiality

$262,500.00

Workbook: Planning!B18

Draft figure · the CPA reviews and concludes

Planning!B18 = $262,500.00

=ROUND(B17*0.75,2)

Planning!B17 = $350,000.00

=ROUNDDOWN(B16*B22/10000,0)*10000

Planning!B16 = $70,300,400.00

=-('E01 Income Accounts'!D8+'E01 Income Accounts'!D9)

E01 Income Accounts!D8 = ($69,612,400.00)

E01 Income Accounts!D9 = ($688,000.00)

Planning!B22 = 0.500%

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/FY2026 trial balance.xlsx · Income Accounts!D8, Income Accounts!D9

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Original documents are attached to this PDF. The workbook is attached too.

PAYROLL FINDINGS · FOLLOW THE EVIDENCE

Materiality · Clearly Trivial

$17,500.00

Workbook: Planning!B19

Draft figure · the CPA reviews and concludes

Planning!B19 = $17,500.00

=ROUND(B17*0.05,2)

Planning!B17 = $350,000.00

=ROUNDDOWN(B16*B22/10000,0)*10000

Planning!B16 = $70,300,400.00

=-('E01 Income Accounts'!D8+'E01 Income Accounts'!D9)

E01 Income Accounts!D8 = ($69,612,400.00)

E01 Income Accounts!D9 = ($688,000.00)

Planning!B22 = 0.500%

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/FY2026 trial balance.xlsx · Income Accounts!D8, Income Accounts!D9

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

PAYROLL FINDINGS · FOLLOW THE EVIDENCE

Analytics · Gross Pay in the Register

$12,017,414.84

Workbook: Analytics!C20

Draft figure · the CPA reviews and concludes

Analytics!C20 = $12,017,414.84

=SUM(C8:C19)

Analytics!C8 = $904,196.53

='E03 Register'!H8+'E03 Register'!H9

E03 Register!H8 = $428,282.14

E03 Register!H9 = $475,914.39

Analytics!C9 = $940,836.78

='E03 Register'!H10+'E03 Register'!H11

E03 Register!H10 = $467,103.39

E03 Register!H11 = $473,733.39

Analytics!C10 = $903,869.78

='E03 Register'!H12+'E03 Register'!H13

E03 Register!H12 = $472,395.39

E03 Register!H13 = $431,474.39

Analytics!C11 = $1,433,865.67

='E03 Register'!H14+'E03 Register'!H15+'E03 Register'!H16

E03 Register!H14 = $480,793.39

E03 Register!H15 = $480,163.39

E03 Register!H16 = $472,908.89

Analytics!C12 = $947,424.28

='E03 Register'!H17+'E03 Register'!H18

E03 Register!H17 = $472,598.89

E03 Register!H18 = $474,825.39

Analytics!C13 = $906,757.57

='E03 Register'!H19+'E03 Register'!H20

Source files and cells (the full formula chain is in the workbook and on the review screen):

02 Payroll Register/FY2026 payroll register.xlsx · Register by Payday!H8, Register by Payday!H9, Register by Payday!H10, Register by Payday!H11, Register by Payday!H12, Register by Payday!H13

Original documents are attached to this PDF. The workbook is attached too.

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PAYROLL FINDINGS · FOLLOW THE EVIDENCE

Analytics · Largest Month Against Expectation ($40,344.51)

Workbook: Analytics!E14

Draft figure · the CPA reviews and concludes

Analytics!E14 = ($40,344.51)
=C14-D14

Analytics!C14 = $879,802.79
='E03 Register'!H21+'E03 Register'!H22

E03 Register!H21 = $421,644.52

E03 Register!H22 = $458,158.27

Analytics!D14 = $920,147.30
=ROUND($B$22*B14,2)

Analytics!B22 = $460,073.65
=ROUND(('E03 Register'!H35-'E03 Register'!H34)/B23,2)

E03 Register!H35 = $12,017,414.84

E03 Register!H34 = $55,500.00

Analytics!B23 = 26

Analytics!B14 = 2

Source files and cells (the full formula chain is in the workbook and on the review screen):
02 Payroll Register/FY2026 payroll register.xlsx · Register by Payday!H21, Register by Payday!H22, Register by Payday!H35, Register by Payday!H34

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Original documents are attached to this PDF. The workbook is attached too.

PAYROLL FINDINGS · FOLLOW THE EVIDENCE

Analytics · Wages Expected From Headcount

$12,006,613.28

Workbook: Analytics!B27

Draft figure · the CPA reviews and concludes

Analytics!B27 = $12,006,613.28

=ROUND(B24*B26/B25,2)

Analytics!B24 = $11,422,455.58

='E01 Income Accounts'!E11+'E01 Income Accounts'!E16

E01 Income Accounts!E11 = $8,652,300.40

E01 Income Accounts!E16 = $2,770,155.18

Analytics!B26 = 95.65

=('E03 Register'!E8+'E03 Register'!E9+'E03 Register'!E10+'E03 Register'!E11+'E03 Register'!E12+'E03 Register'!E13+'E03 Register'!E14+'E03 Register'!E15+'E03 Register'!E16+'E03 Register'!E17+'E03 Register'!E18+'E03 Register'!E19+'E03 Register'!E20+'E03 Register'!E21+'E03 Register'!E22+'E03 Register'!E23+'E03 Register'!E24+'E03 Register'!E25+'E03 Register'!E26+'E03 Register'!E27+'E03 Register'!E28+'

E03 Register!E8 = $95.00

E03 Register!E9 = $95.00

E03 Register!E10 = $95.00

E03 Register!E11 = $95.00

E03 Register!E12 = $95.00

E03 Register!E13 = $97.00

E03 Register!E14 = $97.00

E03 Register!E15 = $97.00

E03 Register!E16 = $96.00

E03 Register!E17 = $97.00

E03 Register!E18 = $97.00

E03 Register!E19 = $97.00

E03 Register!E20 = $96.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/FY2026 trial balance.xlsx · Income Accounts!E11, Income Accounts!E16

02 Payroll Register/FY2026 payroll register.xlsx · Register by Payday!E8, Register by Payday!E9, Register by Payday!E10, Register by Payday!E11, Register by Payday!E12, Register by Payday!E13

Original documents are attached to this PDF. The workbook is attached too.

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PAYROLL FINDINGS · FOLLOW THE EVIDENCE

Analytics · Wages Against the Headcount Expectation

$50,581.50

Workbook: Analytics!B29

Draft figure · the CPA reviews and concludes

Analytics!B29 = $50,581.50

=B28-B27

Analytics!B28 = $12,057,194.78

='Planning'!B11+'Planning'!B12

Planning!B11 = $9,130,071.59

='E01 Income Accounts'!D11

E01 Income Accounts!D11 = $9,130,071.59

Planning!B12 = $2,927,123.19

='E01 Income Accounts'!D16

E01 Income Accounts!D16 = $2,927,123.19

Analytics!B27 = $12,006,613.28

=ROUND(B24*B26/B25,2)

Analytics!B24 = $11,422,455.58

='E01 Income Accounts'!E11+'E01 Income Accounts'!E16

E01 Income Accounts!E11 = $8,652,300.40

E01 Income Accounts!E16 = $2,770,155.18

Analytics!B26 = 95.65

=('E03 Register'!E8+'E03 Register'!E9+'E03 Register'!E10+'E03 Register'!E11+'E03 Register'!E12+'E03 Register'!E13+'E03 Register'!E14+'E03 Register'!E15+'E03 Register'!E16+'E03 Register'!E17+'E03 Register'!E18+'E03 Register'!E19+'E03 Register'!E20+'E03 Register'!E21+'E03 Register'!E22+'E03 Register'!E23+'E03 Register'!E24+'E03 Register'!E25+'E03 Register'!E26+'E03 Register'!E27+'E03 Register'!E28+'

E03 Register!E8 = $95.00

E03 Register!E9 = $95.00

E03 Register!E10 = $95.00

E03 Register!E11 = $95.00

E03 Register!E12 = $95.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/FY2026 trial balance.xlsx · Income Accounts!D11, Income Accounts!D16, Income Accounts!E11, Income Accounts!E16

02 Payroll Register/FY2026 payroll register.xlsx · Register by Payday!E8, Register by Payday!E9, Register by Payday!E10, Register by Payday!E11, Register by Payday!E12, Register by Payday!E13

Original documents are attached to this PDF. The workbook is attached too.

DRAFT FOR THE CPA

PAYROLL FINDINGS · FOLLOW THE EVIDENCE

Sample · Gross Pay in the Sample

$35,828.19

Workbook: Sample!B16

Draft figure · the CPA reviews and concludes

Sample!B16 = $35,828.19

=SUM(B8:B15)

Sample!B8 = $4,968.00

='E03 Paychecks'!F515

E03 Paychecks!F515 = $4,968.00

Sample!B9 = $3,426.50

='E03 Paychecks'!F1429

E03 Paychecks!F1429 = $3,426.50

Sample!B10 = $3,680.00

='E03 Paychecks'!F1426

E03 Paychecks!F1426 = $3,680.00

Sample!B11 = $5,246.00

='E03 Paychecks'!F329

E03 Paychecks!F329 = $5,246.00

Sample!B12 = $6,076.92

='E03 Paychecks'!F1948

E03 Paychecks!F1948 = $6,076.92

Sample!B13 = $2,200.00

='E03 Paychecks'!F802

E03 Paychecks!F802 = $2,200.00

Sample!B14 = $5,576.92

='E03 Paychecks'!F2130

E03 Paychecks!F2130 = $5,576.92

Sample!B15 = $4,653.85

='E03 Paychecks'!F1847

Source files and cells (the full formula chain is in the workbook and on the review screen):

02 Payroll Register/FY2026 payroll register.xlsx · Paychecks!F515, Paychecks!F1429, Paychecks!F1426, Paychecks!F329, Paychecks!F1948, Paychecks!F802

Original documents are attached to this PDF. The workbook is attached too.

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PAYROLL FINDINGS · FOLLOW THE EVIDENCE

Sample · L&I Over-Deducted in the Sample (WH-01)

$4.94

Workbook: Recompute!J22

Draft figure · the CPA reviews and concludes

Recompute!J22 = $4.94
=SUM(B22:I22)

Recompute!B22 = $0.00
=B21-B17

Recompute!B21 = $26.86
='E05 Sample Support'!B25

E05 Sample Support!B25 = $26.86

Recompute!B17 = $26.86
=ROUND(('E05 Sample Support'!B10+'E05 Sample Support'!B11)*'E05 Sample Support'!B26,2)

E05 Sample Support!B10 = $72.00

E05 Sample Support!B11 = $0.00

E05 Sample Support!B26 = $0.37

Recompute!C22 = $2.11
=C21-C17

Recompute!C21 = $62.50
='E05 Sample Support'!C25

E05 Sample Support!C25 = $62.50

Recompute!C17 = $60.39
=ROUND(('E05 Sample Support'!C10+'E05 Sample Support'!C11)*'E05 Sample Support'!C26,2)

E05 Sample Support!C10 = $80.00

E05 Sample Support!C11 = $6.00

E05 Sample Support!C26 = $0.70

Recompute!D22 = $1.42
=D21-D17

Recompute!D21 = $32.76
='E05 Sample Support'!D25

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 Personnel/FY2026 payroll sample support.pdf · PDF pages 1-10; earnings statement, timesheet, rate authorization and personnel file for each sampled paycheck, then the shared account and the rate change forms

Original documents are attached to this PDF. The workbook is attached too.

DRAFT FOR THE CPA

PAYROLL FINDINGS · FOLLOW THE EVIDENCE

Withholdings · L&I Over-Deduction for the Year, Estimated (WH-01)

$2,514.64

Workbook: Adjustments!B10

Draft figure · the CPA reviews and concludes

Adjustments!B10 = $2,514.64

=ROUND('E03 Register'!G35*0.5*('E05 Sample Support'!C26+'E05 Sample Support'!D26+'E05 Sample Support'!E26)/3,2)

E03 Register!G35 = $8,570.00

E05 Sample Support!C26 = $0.70

E05 Sample Support!D26 = $0.36

E05 Sample Support!E26 = $0.70

Source files and cells (the full formula chain is in the workbook and on the review screen):

02 Payroll Register/FY2026 payroll register.xlsx · Register by Payday!G35

03 Personnel/FY2026 payroll sample support.pdf · PDF pages 1-10; earnings statement, timesheet, rate authorization and personnel file for each sampled paycheck, then the shared account and the rate change forms

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Original documents are attached to this PDF. The workbook is attached too.

PAYROLL FINDINGS · FOLLOW THE EVIDENCE

Rate Changes · Unapproved Raise Paid (RATE-01)

$4,999.93

Workbook: Rate Changes!B15

Draft figure · the CPA reviews and concludes

Rate Changes!B15 = $4,999.93
=ROUND(B14*(E9-D9),2)

Rate Changes!B14 = 13

Rate Changes!E9 = $3,769.23
=ROUND(C9/26,2)

Rate Changes!C9 = $98,000.00
='E04 HR Log'!G9

E04 HR Log!G9 = $98,000.00

Rate Changes!D9 = $3,384.62
=ROUND(B9/26,2)

Rate Changes!B9 = $88,000.00
='E04 HR Log'!F9

E04 HR Log!F9 = $88,000.00

Source files and cells (the full formula chain is in the workbook and on the review screen):
03 Personnel/FY2026 rate changes and terminations.xlsx · Rate Changes!G9, Rate Changes!F9

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

PAYROLL FINDINGS · FOLLOW THE EVIDENCE

Accrual · June 30 Accrued Wages, Recomputed

$314,193.66

Workbook: Accrual!B13

Draft figure · the CPA reviews and concludes

Accrual!B13 = $314,193.66
=SUM(D8:D11)

Accrual!D8 = $199,678.50
=ROUND(B8*$B$26/$B$27,2)

Accrual!B8 = $256,729.50
='E03 Register'!K37

E03 Register!K37 = $256,729.50

Accrual!B26 = 7

Accrual!B27 = 9

Accrual!D9 = $37,396.16
=ROUND(B9*$B$26/$B$28,2)

Accrual!B9 = $53,423.08
='E03 Register'!L37

E03 Register!L37 = $53,423.08

Accrual!B28 = 10

Accrual!D10 = $3,444.00
=ROUND(B10*$B$26/$B$27,2)

Accrual!B10 = $4,428.00
='E03 Register'!M37

E03 Register!M37 = $4,428.00

Accrual!D11 = $73,675.00
=ROUND(B11*$B$26/$B$28,2)

Accrual!B11 = $105,250.00
='E03 Register'!N37

E03 Register!N37 = $105,250.00

Source files and cells (the full formula chain is in the workbook and on the review screen):
02 Payroll Register/FY2026 payroll register.xlsx · Register by Payday!K37, Register by Payday!L37, Register by Payday!M37, Register by Payday!N37

Original documents are attached to this PDF. The workbook is attached too.

DRAFT FOR THE CPA

PAYROLL FINDINGS · FOLLOW THE EVIDENCE

Accrual · June 30 Accrued Wages, the Books

$314,193.69

Workbook: Accrual!B14

Draft figure · the CPA reviews and concludes

Accrual!B14 = $314,193.69

='E02 Payroll Ledger'!H94

E02 Payroll Ledger!H94 = $314,193.69

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/FY2026 payroll expense ledger.xlsx · Payroll Expense Ledger!H94

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

PAYROLL FINDINGS · FOLLOW THE EVIDENCE

Accrual · Employer Taxes on Accrued Wages, Not Accrued (ACC-01)

$22,864.35

Workbook: Accrual!B17

Draft figure · the CPA reviews and concludes

Accrual!B17 = $22,864.35

=ROUND(B14*'E03 Register'!AB37/'E03 Register'!H37,2)

Accrual!B14 = $314,193.69

='E02 Payroll Ledger'!H94

E02 Payroll Ledger!H94 = $314,193.69

E03 Register!AB37 = $30,551.71

E03 Register!H37 = $419,830.58

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/FY2026 payroll expense ledger.xlsx · Payroll Expense Ledger!H94
02 Payroll Register/FY2026 payroll register.xlsx · Register by Payday!AB37, Register by Payday!H37

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

PAYROLL FINDINGS · FOLLOW THE EVIDENCE

Accrual · The Same at June 30, 2025 (ACC-01)

$19,972.25

Workbook: Accrual!B21

Draft figure · the CPA reviews and concludes

Accrual!B21 = $19,972.25

=ROUND(B20*'E03 Register'!AB8/'E03 Register'!H8,2)

Accrual!B20 = $274,413.75

='E02 Payroll Ledger'!G8

E02 Payroll Ledger!G8 = $274,413.75

E03 Register!AB8 = $31,171.02

E03 Register!H8 = $428,282.14

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/FY2026 payroll expense ledger.xlsx · Payroll Expense Ledger!G8

02 Payroll Register/FY2026 payroll register.xlsx · Register by Payday!AB8, Register by Payday!H8

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

PAYROLL FINDINGS · FOLLOW THE EVIDENCE

Accrual · FY2026 Expense Understated (ACC-01)

$2,892.10

Workbook: Accrual!B23

Draft figure · the CPA reviews and concludes

Accrual!B23 = $2,892.10

=B17-B21

Accrual!B17 = $22,864.35

=ROUND(B14*'E03 Register'!AB37/'E03 Register'!H37,2)

Accrual!B14 = $314,193.69

='E02 Payroll Ledger'!H94

E02 Payroll Ledger!H94 = $314,193.69

E03 Register!AB37 = $30,551.71

E03 Register!H37 = $419,830.58

Accrual!B21 = $19,972.25

=ROUND(B20*'E03 Register'!AB8/'E03 Register'!H8,2)

Accrual!B20 = $274,413.75

='E02 Payroll Ledger'!G8

E02 Payroll Ledger!G8 = $274,413.75

E03 Register!AB8 = $31,171.02

E03 Register!H8 = $428,282.14

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/FY2026 payroll expense ledger.xlsx · Payroll Expense Ledger!H94, Payroll Expense Ledger!G8

02 Payroll Register/FY2026 payroll register.xlsx · Register by Payday!AB37, Register by Payday!H37, Register by Payday!AB8, Register by Payday!H8

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

PAYROLL FINDINGS · FOLLOW THE EVIDENCE

Forms 941 · Form 941 Line 2 Wages, the Year

$11,369,726.27

Workbook: Form 941!B12

Draft figure · the CPA reviews and concludes

Form 941!B12 = $11,369,726.27

=F8

Form 941!F8 = $11,369,726.27

=SUM(B8:E8)

Form 941!B8 = $2,599,931.61

='E06 Forms 941'!B10

E06 Forms 941!B10 = $2,599,931.61

Form 941!C8 = $3,111,429.51

='E06 Forms 941'!C10

E06 Forms 941!C10 = $3,111,429.51

Form 941!D8 = $2,558,980.33

='E06 Forms 941'!D10

E06 Forms 941!D10 = $2,558,980.33

Form 941!E8 = $3,099,384.82

='E06 Forms 941'!E10

E06 Forms 941!E10 = $3,099,384.82

Source files and cells (the full formula chain is in the workbook and on the review screen):

04 Tax Filings/FY2026 Form 941 filing summaries.pdf · PDF pages 1-4; one Form 941 filing summary per quarter, lines 1 to 14

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Original documents are attached to this PDF. The workbook is attached too.

PAYROLL FINDINGS · FOLLOW THE EVIDENCE

Adjustments · Known Misstatements in Expense

$2,892.10

Workbook: Adjustments!B12

Draft figure · the CPA reviews and concludes

Adjustments!B12 = $2,892.10

=C8

Adjustments!C8 = $2,892.10

='Accrual'!B23

Accrual!B23 = $2,892.10

=B17-B21

Accrual!B17 = $22,864.35

=ROUND(B14*'E03 Register'!AB37/'E03 Register'!H37,2)

Accrual!B14 = $314,193.69

='E02 Payroll Ledger'!H94

E02 Payroll Ledger!H94 = $314,193.69

E03 Register!AB37 = $30,551.71

E03 Register!H37 = $419,830.58

Accrual!B21 = $19,972.25

=ROUND(B20*'E03 Register'!AB8/'E03 Register'!H8,2)

Accrual!B20 = $274,413.75

='E02 Payroll Ledger'!G8

E02 Payroll Ledger!G8 = $274,413.75

E03 Register!AB8 = $31,171.02

E03 Register!H8 = $428,282.14

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/FY2026 payroll expense ledger.xlsx · Payroll Expense Ledger!H94, Payroll Expense Ledger!G8

02 Payroll Register/FY2026 payroll register.xlsx · Register by Payday!AB37, Register by Payday!H37, Register by Payday!AB8, Register by Payday!H8

Original documents are attached to this PDF. The workbook is attached too.

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PAYROLL FINDINGS · FOLLOW THE EVIDENCE

Adjustments · Liabilities Understated, Added Up $25,378.99

Workbook: Adjustments!B13

Draft figure · the CPA reviews and concludes

Adjustments!B13 = $25,378.99
=D8+D10

Adjustments!D8 = $22,864.35
=B8

Adjustments!B8 = $22,864.35
='Accrual'!B17

Accrual!B17 = $22,864.35
=ROUND(B14*'E03 Register'!AB37/'E03 Register'!H37,2)

Accrual!B14 = $314,193.69
='E02 Payroll Ledger'!H94

E02 Payroll Ledger!H94 = $314,193.69

E03 Register!AB37 = $30,551.71

E03 Register!H37 = $419,830.58

Adjustments!D10 = $2,514.64
=B10

Adjustments!B10 = $2,514.64
=ROUND('E03 Register'!G35*0.5*('E05 Sample Support'!C26+'E05 Sample Support'!D26+'E05 Sample Support'!E26)/3,2)

E03 Register!G35 = $8,570.00

E05 Sample Support!C26 = $0.70

E05 Sample Support!D26 = $0.36

E05 Sample Support!E26 = $0.70

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/FY2026 payroll expense ledger.xlsx · Payroll Expense Ledger!H94
02 Payroll Register/FY2026 payroll register.xlsx · Register by Payday!AB37, Register by Payday!H37, Register by Payday!G35
03 Personnel/FY2026 payroll sample support.pdf · PDF pages 1-10; earnings statement, timesheet, rate authorization and personnel file for each sampled paycheck, then the shared account and the rate change forms

Original documents are attached to this PDF. The workbook is attached too.

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WHAT STILL NEEDS A PERSON

ACC-01 · $22,864.35: The June 30, 2026 accrued wages, $314,193.69, are cut off correctly, but the employer's Social Security and Medicare on them, $22,864.35 at the July 10 payroll's own rate, was expensed when paid and never accrued (Q6). The same was true at June 30, 2025 ($19,972.25), so FY2026 expense is understated $2,892.10 and liabilities $22,864.35. Proposed: debit 6210 $2,892.10 and shareholders' equity $19,972.25 (the prior year's, if the CPA treats it so), credit 2210 $22,864.35. Over clearly trivial, under performance materiality: passed if the client declines. Paid Leave and L&I employer premiums on the accrual are smaller and not estimated. The machine never posts.

RATE-01 · $4,999.93: Renata Salazar, Payroll and HR Manager, entered her own increase from $88,000.00 to $98,000.00 effective December 22, 2025, and its personnel action form PAF-25-119 is not signed. Q4 says the President and CEO agreed it in her review. $4,999.93 more was paid in 13 paychecks to June 30. The pay is recorded correctly; the question is authorization. Ask the President and CEO to confirm and sign the form, and the CPA weighs it as a control deficiency: the person who keeps the master file can change her own pay.

WH-01 · $2,514.64: The payroll system takes the L&I employee share on time and a half for each overtime hour (Q7); L&I counts an overtime hour as one hour and an employer may not deduct more than the share. The sample shows $4.94 over-deducted on 3 paychecks; at the year's 8,570 overtime hours it is roughly $2,514.64, owed back to the crews, and the setup is still wrong in the Q3 2026 payrolls. A person fixes the setup and arranges the refunds.

GHOST-01: Xavier Baptiste (E-1044) and Alicia Baptiste (E-1051) are paid into the same account. Cleared by inquiry (Q3) and the personnel files: they are married, each has an I-9, a W-4 and a signed deposit form naming the joint account, and their hours are approved by different superintendents. No further work is proposed; the CPA reviews the clearance.

MAT-01 · $350,000.00: Materiality is proposed at $350,000.00, 0.5% of the year's revenue, with performance materiality $262,500.00 and clearly trivial $17,500.00. The engagement partner sets the final amounts.

REP-01: No management representation letter has been obtained. The CPA requests it near the end of fieldwork, covering the payroll answers relied on here.

SIGN-01: These are draft workpapers and findings for the engagement partner. They are not an audit report and give no opinion. Nothing has been signed, posted or sent to the client.

This memo is a draft for the engagement partner. It is not an audit report and gives no opinion; nothing has been signed, posted or sent.

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